Cash-flow statement

The cash-flow statement shows the movement of cash during the last accounting period. It is important because it reveals a company's liquidity—whether or not it has more money coming in than going out.

How to read a cash-flow statement

The statement of cash flows, to give it its official title, answers the key question of whether a business is making enough money to sustain itself and provide surplus capital to grow in the future, pay any debts, and give out dividends. Figures in parentheses are negative numbers.

Case study: cash-flow statement

By analyzing this water utility's statement, which includes a comparison to the previous year, decision-makers can base future plans on past cash flows (at the time, the exchange rate was £1 = $1.58).

Using profit before tax as a starting point, non-cash income and expenses are deducted to reach net cash inflow from operating activities

Returns on investment in this case is total interest received minus total interest paid, as well as interest paid on finance lease rentals

Taxation is the sum of all taxes paid and tax credits received

Capital expenditure and financial investment is, here, the sum of the sale of tangible assets plus connection charges, grants, and deferred income

Dividends are sums of money paid to shareholders, typically each year

This is the sum of all the figures above

Financing describes how much money the company has made or lost from loans, finance leases, and bonds

This is the change from last year's figures to this year's, and the total of the two figures above

A utility company can afford to operate with more debt than companies with a less stable base

	Year to March 31, 2013 £m	Year to March 31, 2012 £m
Net cash inflow from operating activities	334.6	303.2
Returns on investments and servicing of finance	(80.0)	(79.2)
Taxation	(21.8)	(31.5)
Capital expenditure and financial investment	(215.4)	(149.7)
Dividends paid	(129.6)	(129.4)
Cash outflow before financial investment	(112.2)	(86.6)
Financing	79.0	222.2
(Decrease)/increase in cash	(33.2)	135.6
Reconciliation of cash movement to the movement in net debt		
(Decrease)/increase in cash—above	(33.2)	135.6
Movement in loans and leases	(79.0)	(222.2)
Movement in net debt	**(112.2)**	**(86.6)**
Opening net debt	**(1,626.1)**	**(1,539.5)**
Closing net debt	**(1,738.3)**	**(1,626.1)**